

**ALPHABET A OUTPERFORM**GOOGL US ■ PRICE USD361.9\* ■ TARGET PRICE **USD420** (UPSIDE 16%)

# 2Q26 Preview: GCP Momentum to Persist, Search Expected In-Line, & Increased Focus on Memory Price Inflation

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GOOGL will report 2Q earnings on July 22 ATC with a call at 4:30pm ET. GCP expectations are elevated while Search expectations appear in-line. We rate GOOGL O/P with a \$420 TP.

**Key Focus Areas**

(1) GCP and backlog growth amid elevated capex, (2) Search and YouTube ads growth and benefits from AI integrations, (3) Gemini's competitive positioning versus other frontier labs, particularly within enterprise, (4) Margins as investors look for prevailing ROIC from increased capex, and (5) Capital structure as GOOGL taps capital markets to fund AI investments.

**The Set Up**

Shares are up ~14%YTD, though GOOGL's FY2 P/E multiple is near its 6-month average, suggesting a balanced valuation as investors weigh the company's growth profile and robust backlog trends against elevated AI-related investment and its overall AI positioning. For 2Q26, we believe investors are looking for GCP growth of 67%+ (cons. 64%), Ads growth of 14%+ (cons. 14%), and diluted EPS of \$3.10+ (cons. \$3.03). We believe expectations are for capex guidance to increase due to memory price inflation.

**What the Data Says**

Google Search continues to dominate search traffic despite rising AI adoption. Within AI, ChatGPT remains the traffic leader, though Gemini and Claude continue to gain share. We believe third-party data supports durable Search trends and continued Gemini adoption in 2Q. We are not changing our estimates heading into the quarter.

**BNPP's View**

GOOGL is well positioned to deliver strong 2Q results, supported by GCP momentum and durable advertising trends, reinforcing a favourable outlook for 2H26.

**Alphabet A (+)**

|                              | GOOGL US                     |  |  |  |
|------------------------------|------------------------------|--|--|--|
| *Closing Price (8 July 2026) | USD361.9                     |  |  |  |
| Volume (USDm / EURm)         | 11,281.0 / 9,889.5           |  |  |  |
| Market cap (USDbn / EURbn)   | 4,407.2 / 3,863.6            |  |  |  |
| Free float (USDbn / EURbn)   | 4,407.2 / 3,863.6            |  |  |  |
| EV (USDbn / EURbn)           | 4,306.5 / 3,775.3            |  |  |  |
| Country / Sub Sector         | USA / US Digital Advertising |  |  |  |

| Financials            | 12/25 | 12/26e | 12/27e | 12/28e |
|-----------------------|-------|--------|--------|--------|
| EPS, Adjusted (USD)   | 9.22  | 11.30  | 13.76  | 15.88  |
| EPS, Company (USD)    | 10.81 | 13.70  | 13.76  | 15.88  |
| EPS - Bloomberg (USD) | 10.91 | 14.26  | 15.37  | 18.47  |
| Net dividend (USD)    | 0.82  | 0.87   | 0.90   | 0.93   |

|                           |         |         |         |         |
|---------------------------|---------|---------|---------|---------|
| Sales (USDm)              | 402,836 | 486,821 | 570,006 | 658,945 |
| EBITA, Adj. (USDm)        | 129,039 | 165,404 | 206,627 | 243,447 |
| Net profit, Adj.(USDm)    | 112,720 | 137,294 | 169,518 | 198,446 |
| ROCE (%)                  | 37.5    | 28.9    | 24.9    | 21.8    |
| Net Debt/EBITDA, Adj. (x) | -       | -       | 0.0     | 0.1     |

Source: BNP Paribas Equity Research (estimates), Bloomberg (consensus) (1) In listing currency, with dividend reinvested (2) Yearly average price for FY ended 12/25

| Performance <sup>(1)</sup> | 1w | 1m  | 3m | 12m |
|----------------------------|----|-----|----|-----|
| Absolute(%)                | 0  | (0) | 14 | 108 |
| Rel. Internet & Media(%)   | 0  | (0) | 7  | 59  |
| Rel. MSCI USA(%)           | 0  | (2) | 3  | 72  |

| Valuation metrics <sup>(2)</sup> | 12/25 | 12/26e | 12/27e | 12/28e |
|----------------------------------|-------|--------|--------|--------|
| P/E (x)                          | 22.9  | 32.0   | 26.3   | 22.8   |
| Net yield (%)                    | 0.4   | 0.2    | 0.2    | 0.3    |
| FCF yield (%)                    | 2.9   | 0.4    | 0.0    | 0.2    |
| EV/Sales (x)                     | 6.0   | 8.8    | 7.7    | 6.8    |
| EV/EBITDA (x)                    | 16.0  | 21.6   | 17.3   | 14.6   |
| EV/EBITA (x)                     | 18.6  | 26.0   | 21.2   | 18.4   |
| EV/CE (x)                        | 8.9   | 9.5    | 6.7    | 5.1    |

All valuation metrics based on adjusted figures

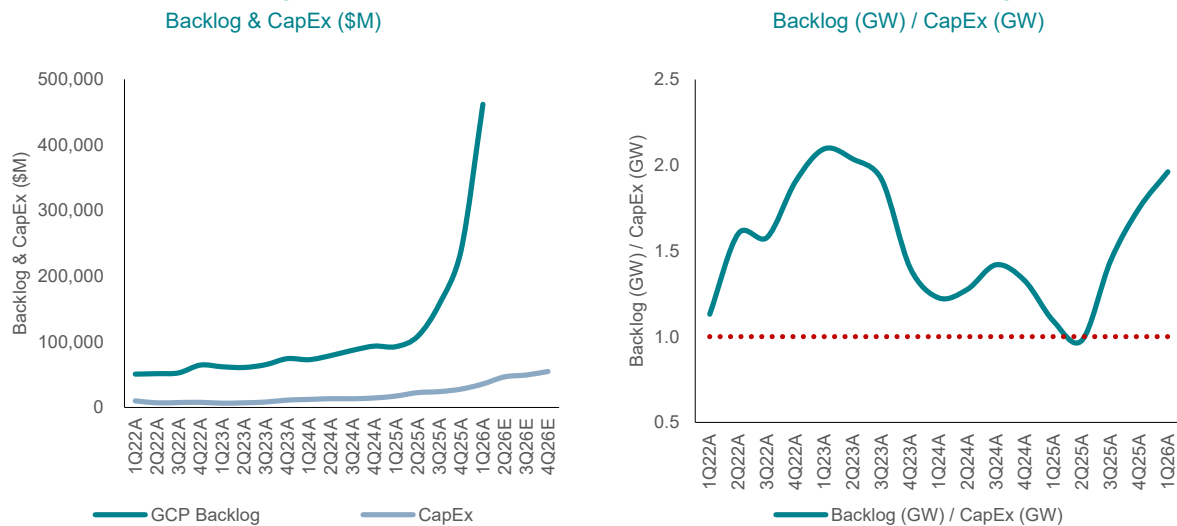
See page 13 for Analyst Certification, Important Disclosures, Non-US Research Analyst disclosures and BNP Paribas Group Corporate Social Responsibility ("CSR") policies. BNP Paribas has adopted strict CSR policies that govern financing and investment in certain sectors. For time of dissemination, please refer to the Cube. \*Closing Price (8 July 2026). (1) FINRA member firm and broker-dealer registered with the U.S. Securities Exchange Commission

## Key Focus Areas

### GCP Momentum & CapEx Implications

With backlog accelerating to 400% y/y growth in 1Q26, we remain focused on management's commentary around potential changes to its previously guided \$180-\$190B of FY26 capex and its expectation for a "significant increase" in FY27. While investor concerns around elevated capex persist, we believe current investment levels remain well supported by demand trends, as reflected in the backlog-to-capex relationship shown below. We also look for additional detail on the composition of backlog, including the mix of GCP commitments, TPUs, etc. Recall, on June 5, GOOGL entered into an agreement with SpaceX to secure 200MW of capacity for \$920M per month, implying an annualized cost of \$50B+ per GW (see our [note](#)). In our view, the announcement reinforces expectations for sustained AI-related investment and suggests capex is likely to remain elevated for the foreseeable future. *For 2Q26, we estimate Google Cloud revenue to grow 63% y/y to \$22.3B, broadly in line with consensus.*

**Figure 1: We believe backlog-to-capex trends support the current level of elevated spending**



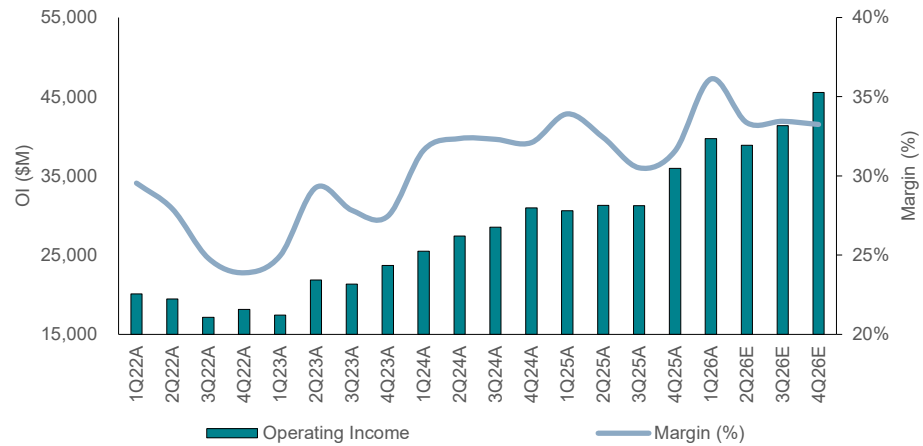
Source: BNP Paribas Equity Research estimates, Company filings

### Profitability Implications

As a result of elevated spending, we believe investors will remain focused on margin implications. While these investments could pressure margins near term, we continue to believe underlying demand supports increased investment. We also note that accelerating revenue growth could help offset a portion of the incremental costs. Strong 2Q26 margin performance could provide investors with additional confidence that GOOGL can sustain healthy margins while continuing to invest behind AI.

**Figure 2: Accelerating revenue growth could help offset a portion of the incremental costs**

Operating Income (\$M) & Margin (%) – BNPP



Source: BNP Paribas Equity Research estimates, Company filings

### Search Trends & AI Implications

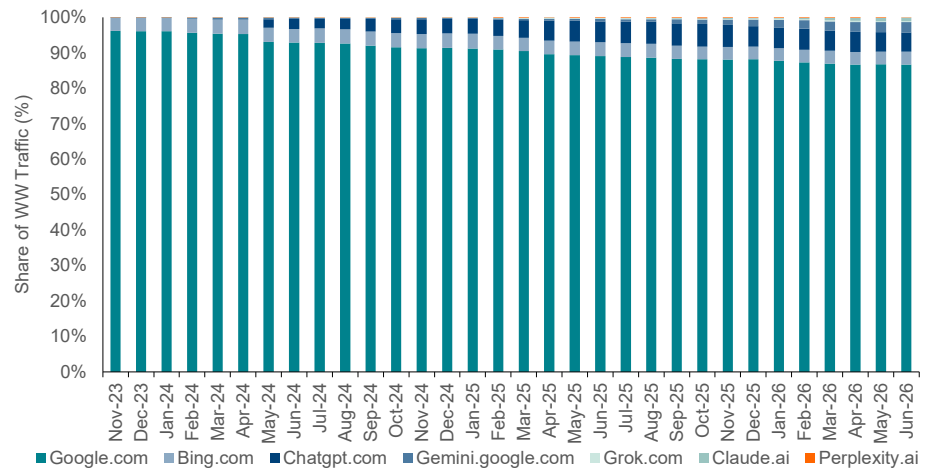
As generative AI platforms continue to reshape the search landscape, we remain focused on Google Search's growth trajectory over the coming quarters as a key indicator of the business's resilience amid rising consumer adoption of AI platforms. We believe GOOGL's scale and massive user base position the company to continue driving monetization through new ad formats and AI-driven search experiences. While some search activity is likely to continue migrating to alternative AI-native platforms, we expect GOOGL to continue capturing incremental advertising dollars as ad budgets shift further online. Longer term, we continue to view GOOGL as one of the best-positioned AI beneficiaries given its leadership across Search, Cloud, and AI infrastructure, its proprietary data advantages, and its ability to monetize AI at scale across its ecosystem. *For 2Q26, we estimate Google Search & Other revenue to grow ~16% y/y, vs. ~17% consensus.*

### Gemini Positioning

While GOOGL's Gemini models remain in the top 10 of most leaderboards, concerns have increased around its positioning with enterprise clients as Anthropic's adoption continues to grow rapidly. Accordingly, we look to the upcoming release of Gemini 3.5 Pro, expected a few weeks from now in mid-July, and commentary on the earnings call. We believe expectations are for Gemini 3.5 Pro to be more competitive with leading models from competing frontier labs.

**Figure 3: Google.com holds an 85%+ global traffic share versus key search players**

Share of Worldwide Traffic (%)



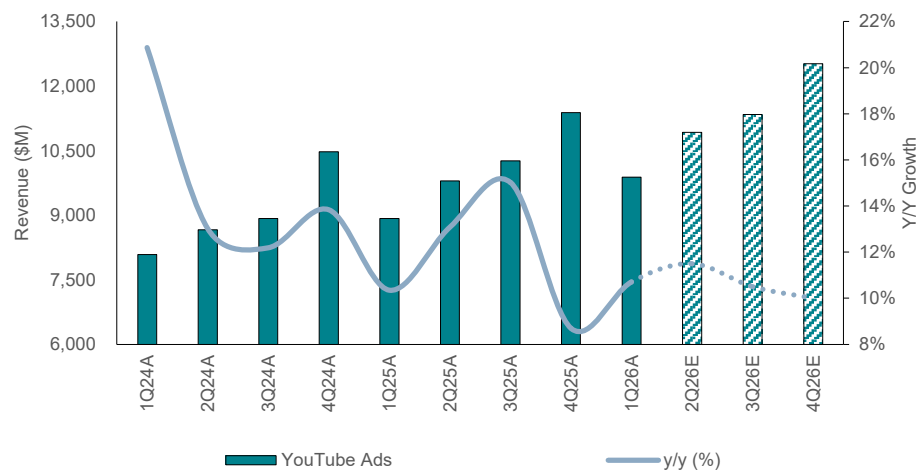
Source: BNP Paribas Equity Research, Similarweb

### YouTube Growth & Monetization Trends

We believe GOOGL's expansive YouTube ecosystem – including core YouTube, Shorts, and YouTube TV – positions the platform to deliver durable growth over the coming quarters and years as it continues to capture share of both global internet and video advertising budgets. Additionally, the company's increasing use of AI to enhance ad targeting, creative formats, and campaign optimization should provide a tailwind to monetization over time. While continued growth in YouTube Premium could modestly pressure advertising revenue as users shift toward ad-free experiences, we view this as a net positive for the broader business given the recurring, higher-margin nature of subscription revenue. For 2Q26, we estimate YouTube Ads revenue growth of ~12% y/y, vs. ~10% consensus.

**Figure 4: We estimate YouTube Ads to maintain low double-digit revenue growth in the coming quarters**

YouTube Ads Revenue (\$M) and Y/Y Growth (%) – BNPP

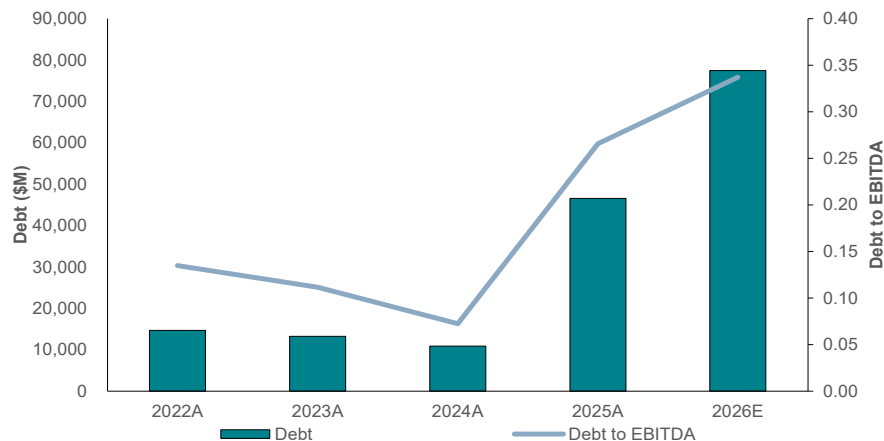


Source: BNP Paribas Equity Research estimates, Company filings

## Capital Structure

GOOGL raised ~\$85B through an equity capital raise in early June, broadening its access to capital beyond debt. This came after GOOGL tapped debt markets several times already in 2026, raising questions as to how GOOGL plans to fund ongoing infrastructure capital expenditures (e.g., debt or equity). Given the size of GOOGL's backlog and persistent demand outpacing supply, we would not be surprised to see the company continue to access capital markets.

**Figure 5: GOOGL has ample room to increase its debt load**



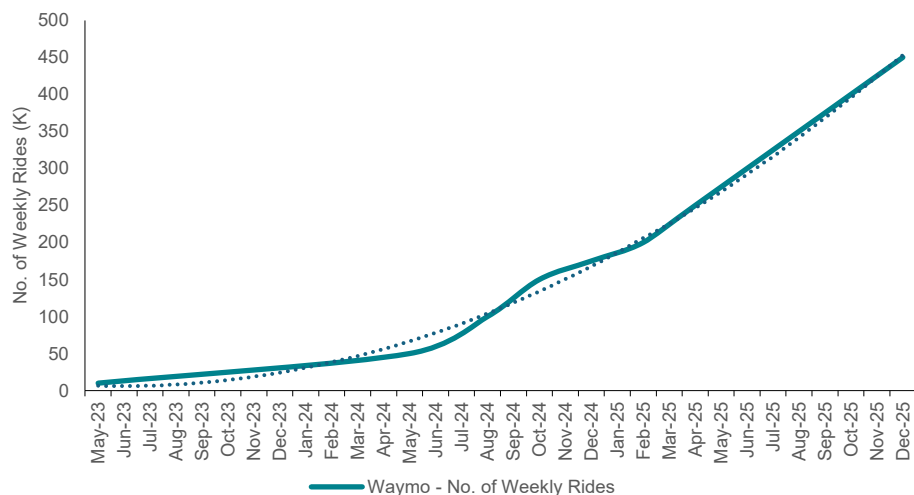
Source: BNP Paribas Equity Research estimates

## Waymo Expansion & Adoption Trends

As Waymo continues to scale, we believe it represents an increasingly valuable source of long-term optionality for GOOGL. Further, we believe GOOGL's leadership in AI positions Waymo to sustain its growth trajectory and emerge as a long-term leader in autonomous mobility. We look for updates regarding the pace of market expansion, fleet scaling, and any additional commentary around Waymo's long-term commercialization strategy.

**Figure 6: Waymo's number of weekly rides continues to grow rapidly**

Waymo No. of Weekly Rides (K)



Source: BNP Paribas Equity Research, Company filings

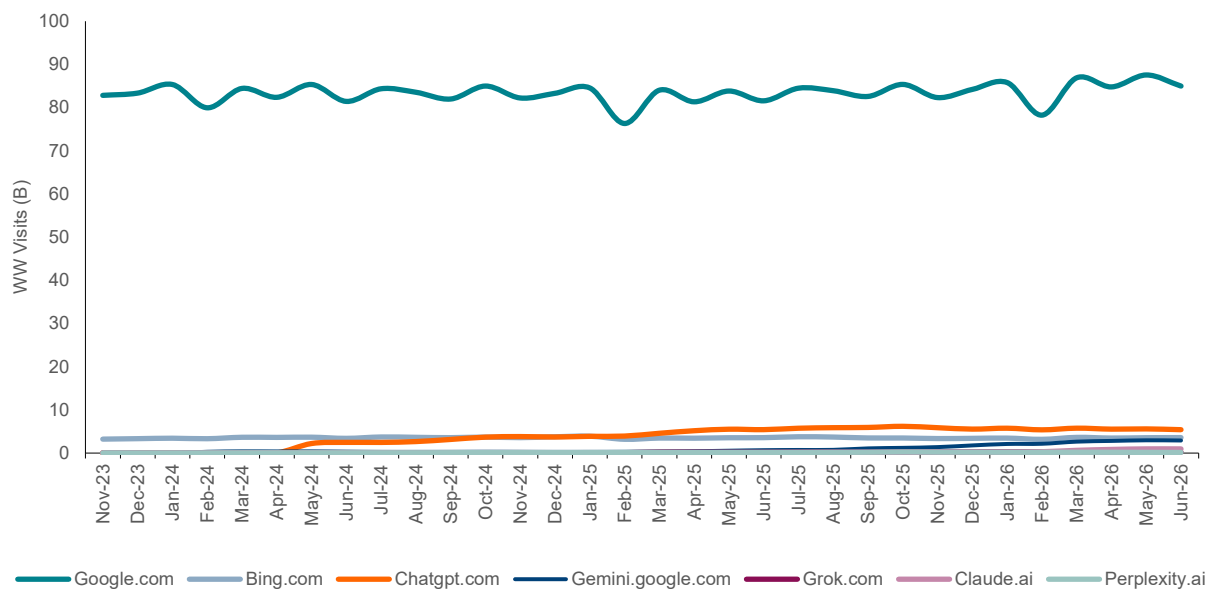
## What the Data Says

Despite robust growth in traffic across generative AI platforms, Google.com remains the clear global traffic leader with a traffic share of 85%+.

Within generative AI platforms, ChatGPT continues to hold a meaningful lead in traffic share; however, competing platforms are narrowing the gap, with Gemini's share of visits increasing to 28% per Similarweb data, from 21% six months ago and 9% a year ago, with Claude also gaining meaningful share. We would not be surprised to see this gap continue to close as competing platforms improve model quality, expand feature sets, and benefit from tighter ecosystem integration and distribution. Overall, we view third-party data as supportive of durable search trends heading into 2Q26. We are not changing our estimates heading into the quarter.

**Figure 7: While adoption of generative AI platforms continues to scale rapidly, Google.com remains the clear leader in global search traffic with an 85%+ share**

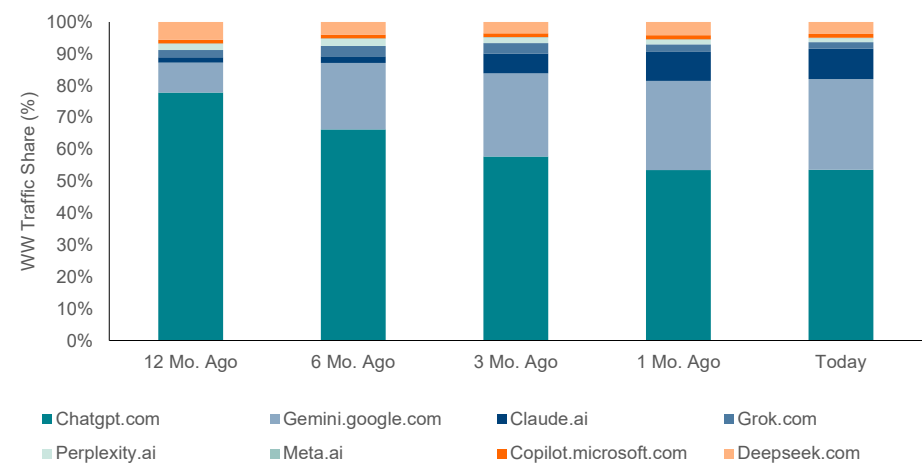
Worldwide Visits (B)



Source: BNP Paribas Equity Research, Similarweb

**Figure 8: While ChatGPT continues to lead generative AI platforms by traffic share, competing platforms are narrowing the gap, with Gemini and Claude growing its traffic share materially over the past several months**

Worldwide Traffic Share (%)



Source: BNP Paribas Equity Research, Similarweb

## Backdrop

GOOGL's current FY2 P/E multiple is around its six-month average, suggesting the market continues to assign a balanced valuation as investors weigh the company's durable growth profile and robust backlog trends against elevated AI-related investment.

**Figure 9: Alphabet's FY2 P/E multiple is trading broadly in line with its T6M average**

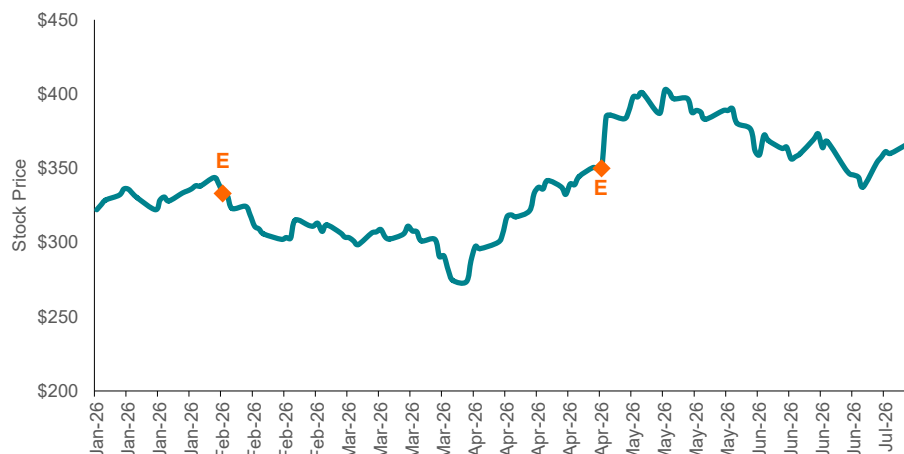
T6M Valuation History

| Ticker | EV/FY2 EBITDA T6M |       |           |       |           |       |           | FY2 P/E T6M |       |           |       |           |       |           | SI as % of float |
|--------|-------------------|-------|-----------|-------|-----------|-------|-----------|-------------|-------|-----------|-------|-----------|-------|-----------|------------------|
|        | Curr.             | Avg.  | vs. Curr. | Max   | vs. Curr. | Min   | vs. Curr. | Curr.       | Avg.  | vs. Curr. | Max   | vs. Curr. | Min   | vs. Curr. |                  |
| AMZN   | 10.2x             | 10.0x | -2%       | 13.0x | 27%       | 8.5x  | -17%      | 24.5x       | 24.5x | 0%        | 30.5x | 25%       | 21.1x | -14%      | 1.0%             |
| GOOGL  | 15.3x             | 15.1x | -1%       | 19.9x | 30%       | 12.5x | -18%      | 25.0x       | 24.3x | -3%       | 30.5x | 22%       | 20.2x | -19%      | 1.6%             |
| META   | 10.3x             | 10.3x | 0%        | 12.0x | 16%       | 8.8x  | -15%      | 17.6x       | 17.9x | 2%        | 20.9x | 19%       | 15.3x | -13%      | 1.4%             |

Source: BNP Paribas Equity Research estimates, Bloomberg – as of 07/08/2026

**Figure 10: Alphabet's shares have increased ~14% YTD**

YTD Stock Price History



Source: BNP Paribas Equity Research, Bloomberg – as of 07/08/2026



## Key Financials

For 2Q26, our top-line estimates are broadly in line with consensus, while our bottom-line estimates are below. Looking ahead to FY26 and FY27, our top-line estimates are largely in line with the Street, driven by continued strength across Google Advertising and Cloud. However, our net income estimates remain below consensus, reflecting higher-than-expected capex and the resulting increase in depreciation expense. We note that strong top-line trends could help offset increased spending in the coming quarters.

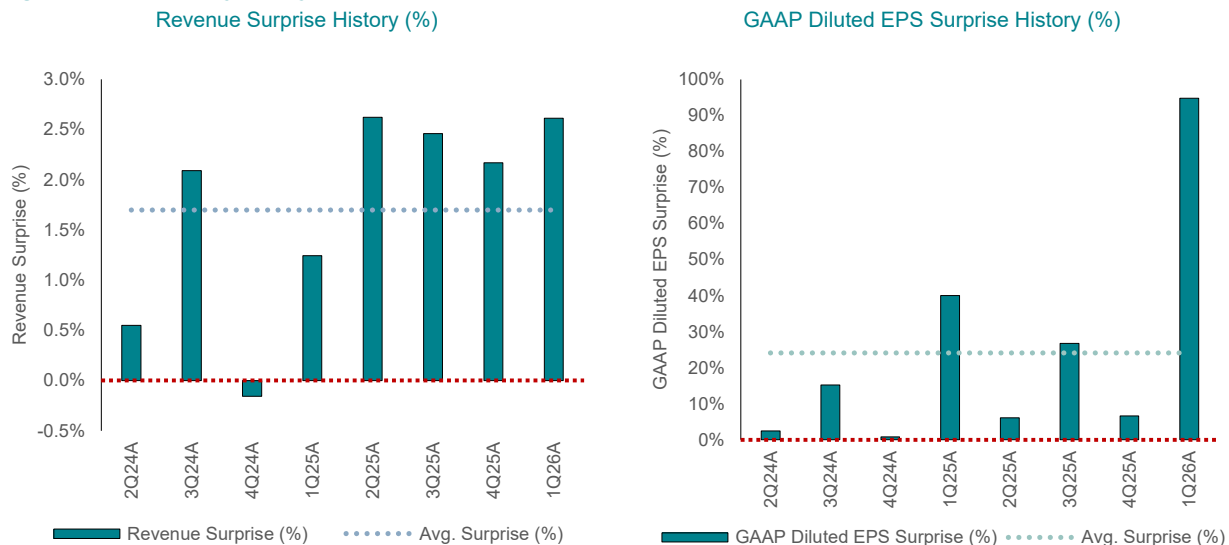
**Figure 11: For 2Q26, our top-line estimates are broadly in line with consensus, while our bottom-line estimates are below**

BNPP vs. Bloomberg Consensus (\$M)

| Financial Summary (BNPP vs. Median BB Cons)  |         |         |        | 3Q26E   |         |         |  | 2026E   |         |         |  | 2027E   |         |         |  | 2028E   |         |         |  |
|----------------------------------------------|---------|---------|--------|---------|---------|---------|--|---------|---------|---------|--|---------|---------|---------|--|---------|---------|---------|--|
|                                              | BNP     | BB Cons | % diff | BNP     | Cons    | % diff  |  | BNP     | Cons    | % diff  |  | BNP     | Cons    | % diff  |  | BNP     | Cons    | % diff  |  |
| Google Search & other                        | 62,589  | 63,198  | -1.0%  | 65,052  | 64,809  | 0.4%    |  | 260,259 | 259,920 | 0.1%    |  | 291,490 | 291,308 | 0.1%    |  | 323,846 | 321,878 | 0.6%    |  |
| y/y                                          | 16%     | 17%     |        | 15%     | 15%     |         |  | 16%     | 16%     |         |  | 12%     | 12%     |         |  | 11.1%   | 10.5%   |         |  |
| YouTube ads                                  | 10,923  | 10,802  | 1.1%   | 11,338  | 11,287  | 0.5%    |  | 44,665  | 44,762  | -0.2%   |  | 50,248  | 49,411  | 1.7%    |  | 56,215  | 54,000  | 4.1%    |  |
| y/y                                          | 12%     | 10%     |        | 11%     | 10%     |         |  | 11%     | 11%     |         |  | 13%     | 10%     |         |  | 12%     | 9%      |         |  |
| Google Network                               | 7,097   | 7,133   | -0.5%  | 7,097   | 7,133   | -0.5%   |  | 28,718  | 28,831  | -0.4%   |  | 28,431  | 28,234  | 0.7%    |  | 28,147  | 27,486  | 2.4%    |  |
| y/y                                          | -4%     | -3%     |        | -4%     | -3%     |         |  | -4%     | -3%     |         |  | -1%     | -2%     |         |  | -1%     | -3%     |         |  |
| Google advertising                           | 80,609  | 81,073  | -0.6%  | 83,487  | 83,054  | 0.5%    |  | 333,643 | 333,107 | 0.2%    |  | 370,170 | 367,823 | 0.6%    |  | 408,208 | 403,435 | 1.2%    |  |
| y/y                                          | 13%     | 14%     |        | 13%     | 12%     |         |  | 13%     | 13%     |         |  | 11%     | 10%     |         |  | 10.3%   | 9.7%    |         |  |
| Google subscriptions, platforms, and devices | 13,276  | 13,055  | 1.7%   | 15,187  | 14,939  | 1.7%    |  | 56,868  | 56,224  | 1.1%    |  | 65,114  | 64,441  | 1.0%    |  | 74,320  | 72,732  | 2.2%    |  |
| y/y                                          | 19%     | 17%     |        | 18%     | 16%     |         |  | 18%     | 17%     |         |  | 15%     | 15%     |         |  | 14%     | 13%     |         |  |
| Google Services Total                        | 93,884  | 94,260  | -0.4%  | 98,674  | 98,120  | 0.6%    |  | 390,511 | 389,713 | 0.2%    |  | 435,284 | 431,491 | 0.9%    |  | 482,527 | 473,500 | 1.9%    |  |
| y/y                                          | 14%     | 14%     |        | 13%     | 13%     |         |  | 14%     | 14%     |         |  | 11%     | 11%     |         |  | 10.3%   | 10%     |         |  |
| Google Cloud                                 | 22,262  | 22,360  | -0.4%  | 24,630  | 24,857  | -0.9%   |  | 95,182  | 95,481  | -0.3%   |  | 133,255 | 142,845 | -6.7%   |  | 174,564 | 210,833 | -17.2%  |  |
| y/y                                          | 63%     | 64%     |        | 63%     | 64%     |         |  | 62%     | 63%     |         |  | 40%     | 50%     |         |  | 31%     | 48%     |         |  |
| Other bets                                   | 410     | 403     | 1.7%   | 430     | 398     | 8.1%    |  | 1,695   | 1,638   | 3.5%    |  | 2,034   | 1,828   | 11.3%   |  | 2,421   | 2,048   | 18.2%   |  |
| y/y                                          | 10%     | 8%      |        | 25%     | 16%     |         |  | 10%     | 7%      |         |  | 20%     | 12%     |         |  | 19%     | 12%     |         |  |
| Hedging gains (losses)                       | -112    | -70     | 60.3%  | -207    | -90     | -130.0% |  | -567    | -180    | -215.0% |  | -567    | -180    | -215.0% |  | -567    | -180    | -215.0% |  |
| y/y                                          | 0%      | -38%    |        | 0%      | -57%    |         |  | 346%    | 42%     |         |  | 0%      | 0%      |         |  | 0%      | 0%      |         |  |
| Total revenues                               | 116,444 | 116,913 | -0.4%  | 123,527 | 123,225 | 0.2%    |  | 486,821 | 486,953 | 0.0%    |  | 570,006 | 578,006 | -1.4%   |  | 658,945 | 682,628 | -3.5%   |  |
| y/y                                          | 21%     | 21%     |        | 21%     | 20%     |         |  | 21%     | 21%     |         |  | 17%     | 19%     |         |  | 16%     | 18%     |         |  |
| Total TAC                                    | 16,615  | 16,237  | 2.3%   | 16,742  | 16,431  | 1.9%    |  | 67,202  | 65,844  | 2.1%    |  | 74,374  | 72,458  | 2.6%    |  | 81,812  | 79,231  | 3.3%    |  |
| % of Google Advertising                      | 20.6%   | 20.0%   |        | 20.1%   | 19.8%   |         |  | 20.1%   | 19.8%   |         |  | 20.1%   | 19.7%   |         |  | 20.0%   | 19.6%   |         |  |
| Other cost of revenues                       | 31,109  | 29,423  | 5.7%   | 33,904  | 32,086  | 5.7%    |  | 129,276 | 122,844 | 5.2%    |  | 156,479 | 148,523 | 5.4%    |  | 187,697 | 179,678 | 4.5%    |  |
| Gross Profit                                 | 68,719  | 70,845  | -3.0%  | 72,881  | 74,411  | -2.1%   |  | 290,343 | 296,074 | -1.9%   |  | 339,154 | 352,787 | -3.9%   |  | 389,437 | 416,489 | -6.5%   |  |
| gross profit margin                          | 59%     | 61%     |        | 59%     | 60%     |         |  | 60%     | 61%     |         |  | 60%     | 61%     |         |  | 59%     | 61%     |         |  |
| Research and development                     | 17,467  | 17,549  | -0.5%  | 18,220  | 18,993  | -4.1%   |  | 72,235  | 74,815  | -3.4%   |  | 78,376  | 88,187  | -11.1%  |  | 86,075  | 102,958 | -16.4%  |  |
| Sales and marketing                          | 7,860   | 8,269   | -4.9%  | 8,338   | 8,622   | -3.3%   |  | 33,391  | 34,032  | -1.9%   |  | 34,770  | 39,367  | -11.7%  |  | 39,191  | 45,817  | -14.5%  |  |
| General and administrative                   | 4,541   | 4,992   | -9.0%  | 5,003   | 5,134   | -2.6%   |  | 19,313  | 20,198  | -4.4%   |  | 19,380  | 23,040  | -15.9%  |  | 20,724  | 26,188  | -20.9%  |  |
| Income from operations                       | 38,851  | 40,483  | -4.0%  | 41,320  | 42,405  | -2.6%   |  | 165,404 | 168,846 | -2.0%   |  | 206,627 | 206,252 | 0.2%    |  | 243,447 | 243,447 | 0.0%    |  |
| Operating margin                             | 33%     | 35%     |        | 33%     | 34%     |         |  | 34%     | 35%     |         |  | 36%     | 36%     |         |  | 37%     | 36%     |         |  |
| Net income                                   | 32,230  | 37,298  | -13.6% | 34,068  | 36,977  | -7.9%   |  | 166,369 | 174,890 | -4.9%   |  | 169,518 | 177,987 | -4.8%   |  | 198,446 | 209,564 | -5.3%   |  |
| Net income margin                            | 28%     | 32%     |        | 28%     | 30%     |         |  | 34%     | 36%     |         |  | 30%     | 31%     |         |  | 30%     | 31%     |         |  |
| Diluted net income per share                 | \$2.65  | \$3.03  | -12.6% | \$2.81  | \$3.01  | -6.6%   |  | \$13.70 | \$14.28 | -4.1%   |  | \$13.76 | \$14.49 | -5.0%   |  | \$15.88 | \$16.91 | -6.1%   |  |

Source: BNP Paribas Equity Research estimates, Bloomberg median consensus – as of 07/08/2026

**Figure 12: GOOGL typically beats consensus expectations**



Source: BNP Paribas Equity Research, Bloomberg, Company Reports

## Valuation

We arrive at a target price of \$420, based on 30x 2027E P/E. We continue to view Alphabet as well positioned to be an AI winner and believe its current 2027E P/E of ~25x underappreciates the strength of its vertically integrated technology stack, broad consumer and enterprise adoption, and dominance in digital advertising.

Further, our multiple, which is a premium to the S&P 500 and mega cap peers, is warranted, in our view, given Alphabet's differentiated positioning across the AI stack (i.e., infrastructure, models, distribution), as well as strengthening demand signals, including accelerating Cloud backlog and enterprise AI adoption. We rate Alphabet at Outperform.

Figure 13: Target Price Calculation

| Price Target Calculation      |                  |
|-------------------------------|------------------|
|                               | 2027             |
| 2027E Diluted EPS             | \$13.76          |
| P/E                           | 30x              |
| <b>Price Target</b>           | <b>\$420.00</b>  |
| ETR                           | 20%              |
| x Diluted Share Count (2026E) | 12,147           |
| <b>= Market Cap</b>           | <b>5,101,539</b> |
| + Debt (2026E)                | 81,501           |
| - Cash (2026E)                | -215,114         |
| <b>= Enterprise Value</b>     | <b>4,967,925</b> |

Source: BNP Paribas Equity Research estimates

Figure 14: Comp sheet – valuation multiples

| Company                              | Ticker | Price    | BNPP Rating | BNPP Analyst     | Mkt Cap (M) | EV (M)    | EV/Rev |       | EV/GP |       | Multiples EV/EBITDA |       | EV/FCF |       | P/E   |       | EV/Rev / Δ Rev |       | EV/EBITDA / Δ EBITDA |       | P/E / Δ EPS |       |
|--------------------------------------|--------|----------|-------------|------------------|-------------|-----------|--------|-------|-------|-------|---------------------|-------|--------|-------|-------|-------|----------------|-------|----------------------|-------|-------------|-------|
|                                      |        |          |             |                  |             |           | 2026   | 2027  | 2026  | 2027  | 2026                | 2027  | 2026   | 2027  | 2026  | 2027  | 2026           | 2027  | 2026                 | 2027  | 2026        | 2027  |
| Alphabet Inc @ BNPP TP/Ests.         |        |          |             |                  |             |           |        |       |       |       |                     |       |        |       |       |       |                |       |                      |       |             |       |
| Alphabet Inc @ Mkt/Consensus         | GOOGL  | \$420.00 | (+)         | Nick Jones       | 5,101,539   | 4,967,925 | 10.2x  | 8.7x  | 17.1x | 14.6x | 21.6x               | 17.3x | 271.6x | --    | 30.7x | 30.5x | 0.5x           | 0.5x  | 0.7x                 | 0.7x  | 1.1x        | 67.5x |
| SPX Index                            | GOOGL  | \$361.92 |             |                  | 4,387,266   | 4,356,263 | 8.9x   | 7.5x  | 14.7x | 12.3x | 19.0x               | 15.0x | --     | --    | 25.4x | 24.6x | 0.4x           | 0.4x  | 0.6x                 | 0.6x  | 0.8x        | 7.2x  |
|                                      |        |          |             |                  |             |           |        |       |       |       |                     |       |        |       |       |       | 21.6x          | 18.7x | 21.6x                | 18.7x | 21.6x       | 18.7x |
| Mega Caps                            |        |          |             |                  |             |           |        |       |       |       |                     |       |        |       |       |       |                |       |                      |       |             |       |
| Meta Platforms Inc                   | META   | \$603.12 | (+)         | Nick Jones       | 1,530,974   | 1,536,563 | 6.1x   | 5.1x  | 7.5x  | 6.4x  | 12.5x               | 10.1x | --     | --    | 18.4x | 17.2x | 0.2x           | 0.3x  | 0.6x                 | 0.4x  | 0.5x        | 2.4x  |
| Amazon.com Inc                       | AMZN   | \$243.62 | (+)         | Nick Jones       | 2,620,647   | 2,704,406 | 3.3x   | 2.9x  | 6.4x  | 5.5x  | 12.8x               | 10.1x | --     | --    | 27.7x | 24.3x | 0.2x           | 0.2x  | 0.4x                 | 0.4x  | 1.2x        | 1.7x  |
| Microsoft Corp                       | MSFT   | \$383.34 | (+)         | Stefan Slowinski | 2,847,616   | 2,894,776 | 8.1x   | 6.9x  | 12.3x | 10.5x | 13.5x               | 11.2x | --     | --    | 21.3x | 18.3x | 0.5x           | 0.4x  | 0.8x                 | 0.6x  | 1.7x        | 1.1x  |
| Oracle Corp                          | ORCL   | \$140.49 | (+)         | Stefan Slowinski | 404,677     | 545,763   | 6.9x   | 5.0x  | 11.1x | 9.0x  | 12.5x               | 8.7x  | --     | --    | 24.9x | 18.5x | 0.3x           | 0.1x  | 0.4x                 | 0.2x  | 5.8x        | 0.5x  |
| Average                              |        |          |             |                  |             |           | 5.8x   | 5.0x  | 8.7x  | 7.5x  | 12.9x               | 10.5x | --     | --    | 22.5x | 19.9x | 0.3x           | 0.3x  | 0.6x                 | 0.5x  | 1.1x        | 1.7x  |
| GOOGL % above/below avg. @ BNPP est. |        |          |             |                  |             |           | 75%    | 75%   | 96%   | 96%   | 68%                 | 65%   | --     | --    | 36%   | 53%   | 54%            | 75%   | 11%                  | 51%   | 0%          | --    |
| Ad-Tech                              |        |          |             |                  |             |           |        |       |       |       |                     |       |        |       |       |       |                |       |                      |       |             |       |
| Trade Desk Inc/The                   | TTD    | \$19.07  | (=)         | Nick Jones       | 8,965       | 7,983     | 2.5x   | 2.3x  | --    | --    | 6.3x                | 5.8x  | 9.4x   | 8.8x  | 19.5x | 16.4x | 0.3x           | 0.2x  | 1.2x                 | 0.6x  | 2.3x        | 0.9x  |
| Snap Inc                             | SNAP   | \$4.63   | (-)         | Nick Jones       | 7,673       | 9,051     | 1.4x   | 1.2x  | 2.3x  | 2.1x  | 7.2x                | 5.8x  | 11.9x  | 8.1x  | --    | 47.5x | 0.1x           | 0.1x  | 0.1x                 | 0.2x  | --          | 0.2x  |
| Reddit Inc                           | RODT   | \$195.31 | NC          |                  | 37,599      | 34,850    | 10.8x  | 8.2x  | 11.8x | 8.9x  | 24.8x               | 17.9x | 27.1x  | 20.0x | 38.9x | 29.7x | 0.2x           | 0.3x  | 0.4x                 | 0.5x  | 0.4x        | 1.0x  |
| Pinterest Inc                        | PINS   | \$22.53  | NC          |                  | 12,649      | 12,555    | 2.6x   | 2.3x  | 3.3x  | 2.9x  | 8.9x                | 7.6x  | 9.8x   | 8.0x  | 44.7x | 27.6x | 0.2x           | 0.2x  | 0.8x                 | 0.4x  | --          | 0.4x  |
| AppLovin Corp                        | APP    | \$522.18 | NC          |                  | 175,421     | 176,177   | 21.4x  | 16.4x | --    | --    | 25.5x               | 19.4x | 32.2x  | 24.6x | 32.5x | 24.3x | 0.4x           | 0.5x  | 0.5x                 | 0.6x  | 0.5x        | 0.7x  |
| MNTN Inc                             | MNTN   | \$10.89  | NC          |                  | 805         | 595       | 1.7x   | 1.4x  | --    | --    | 6.0x                | 4.6x  | 6.2x   | 5.2x  | 13.2x | 9.8x  | 0.1x           | 0.1x  | 0.1x                 | 0.2x  | 0.0x        | 0.3x  |
| LiveRamp Holdings Inc                | RAMP   | \$37.61  | NC          |                  | 2,286       | 1,929     | 2.2x   | 2.0x  | --    | --    | 9.7x                | 8.3x  | 10.7x  | 9.1x  | 13.9x | 14.9x | 0.2x           | 0.2x  | 0.5x                 | 0.5x  | --          | --    |
| Criteo SA                            | CRTD   | \$22.83  | NC          |                  | 1,147       | 957       | 0.8x   | 0.8x  | --    | --    | 2.6x                | 2.4x  | 6.6x   | 4.9x  | 10.8x | 10.0x | -0.3x          | 0.2x  | --                   | 0.4x  | --          | 1.3x  |
| Average                              |        |          |             |                  |             |           | 5.4x   | 4.3x  | 5.8x  | 4.6x  | 11.4x               | 9.0x  | 14.2x  | 11.1x | 24.8x | 22.5x | 0.2x           | 0.2x  | 0.5x                 | 0.4x  | 0.8x        | 0.7x  |
| GOOGL % above/below avg. @ BNPP est. |        |          |             |                  |             |           | 88%    | 101%  | 196%  | --    | 90%                 | 93%   | --     | --    | 24%   | 35%   | --             | 131%  | 35%                  | 64%   | 41%         | --    |

Source: BNP Paribas Equity Research estimates, Bloomberg for NC stocks – priced as of 07/08/2026.

Figure 15: Comp sheet – growth rates and margins

| Company                              | Ticker       | Price           | BNPP Rating | BNPP Analyst      | Mkt Cap (M)      | EV (M)           | Growth Metrics |            |            |            |              |               |             |            | Margins    |            |            |            |            |            |            |            |
|--------------------------------------|--------------|-----------------|-------------|-------------------|------------------|------------------|----------------|------------|------------|------------|--------------|---------------|-------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|
|                                      |              |                 |             |                   |                  |                  | ▲ Rev          | ▲ EBITDA   | ▲ FCF      | ▲ EPS      | GP margin    | EBITDA margin | FCF margin  | NI margin  |            |            |            |            |            |            |            |            |
|                                      |              |                 |             |                   |                  |                  | 2026           | 2027       | 2026       | 2027       | 2026         | 2027          | 2026        | 2027       | 2026       | 2027       | 2026       | 2027       | 2026       | 2027       | 2026       | 2027       |
| <b>Alphabet Inc @ BNPP TP/Ests.</b>  | <b>GOOGL</b> | <b>\$420.00</b> | <b>(+)</b>  | <b>Nick Jones</b> | <b>5,101,539</b> | <b>4,967,925</b> | <b>21%</b>     | <b>17%</b> | <b>31%</b> | <b>25%</b> | <b>-75%</b>  | <b>-109%</b>  | <b>27%</b>  | <b>0%</b>  | <b>60%</b> | <b>60%</b> | <b>47%</b> | <b>50%</b> | <b>4%</b>  | <b>0%</b>  | <b>34%</b> | <b>30%</b> |
| Alphabet Inc @ Mkt/Consensus         | GOOGL        | \$361.92        |             |                   | 4,387,266        | 4,356,263        | 21%            | 19%        | 31%        | 26%        | -71%         | -41%          | 32%         | 3%         | 61%        | 61%        | 47%        | 50%        | 4%         | 2%         | 36%        | 31%        |
| SPX Index                            |              |                 |             |                   |                  |                  |                |            |            |            |              |               |             |            |            |            |            |            |            |            |            |            |
| <b>Mega Caps</b>                     |              |                 |             |                   |                  |                  |                |            |            |            |              |               |             |            |            |            |            |            |            |            |            |            |
| Meta Platforms Inc                   | META         | \$603.12        | (+)         | Nick Jones        | 1,530,974        | 1,536,563        | 26%            | 19%        | 21%        | 24%        | -95%         | 18%           | 40%         | 7%         | 81%        | 80%        | 49%        | 50%        | 1%         | 1%         | 33%        | 30%        |
| Amazon.com Inc                       | AMZN         | \$243.62        | (+)         | Nick Jones        | 2,620,647        | 2,704,406        | 15%            | 13%        | 28%        | 26%        | -213%        | 219%          | 23%         | 14%        | 51%        | 52%        | 26%        | 29%        | -2%        | 2%         | 12%        | 12%        |
| Microsoft Corp                       | MSFT         | \$383.34        | (+)         | Stefan Slowinski  | 2,847,616        | 2,894,776        | 16%            | 18%        | 16%        | 20%        | -54%         | 22%           | 12%         | 17%        | 66%        | 66%        | 60%        | 62%        | 11%        | 12%        | 38%        | 37%        |
| Oracle Corp                          | ORCL         | \$140.49        | (+)         | Stefan Slowinski  | 404,677          | 545,763          | 27%            | 40%        | 34%        | 44%        | -123%        | -12%          | 4%          | 35%        | 62%        | 55%        | 56%        | 57%        | -49%       | -39%       | 22%        | 21%        |
| <b>Average</b>                       |              |                 |             |                   |                  |                  | <b>19%</b>     | <b>17%</b> | <b>22%</b> | <b>23%</b> | <b>-121%</b> | <b>86%</b>    | <b>25%</b>  | <b>13%</b> | <b>66%</b> | <b>66%</b> | <b>45%</b> | <b>47%</b> | <b>4%</b>  | <b>5%</b>  | <b>28%</b> | <b>26%</b> |
| GOOGL % above/below avg. @ BNPP est. |              |                 |             |                   |                  |                  | 9%             | 2%         | 43%        | 8%         | 38%          | --            | 8%          | -96%       | -10%       | -10%       | 5%         | 7%         | 7%         | -106%      | 24%        | 13%        |
| <b>Ad-Tech</b>                       |              |                 |             |                   |                  |                  |                |            |            |            |              |               |             |            |            |            |            |            |            |            |            |            |
| Trade Desk Inc/The                   | TTD          | \$19.07         | (=)         | Nick Jones        | 8,965            | 7,983            | 10%            | 10%        | 5%         | 10%        | 9%           | 6%            | 8%          | 19%        | --         | --         | 40%        | 40%        | 27%        | 26%        | 15%        | 16%        |
| Snap Inc                             | SNAP         | \$4.63          | (-)         | Nick Jones        | 7,673            | 9,051            | 13%            | 10%        | 83%        | 24%        | 74%          | 46%           | 72%         | 232%       | 59%        | 60%        | 19%        | 21%        | 11%        | 15%        | -2%        | 2%         |
| Reddit Inc                           | RDDT         | \$195.31        | NC          |                   | 37,599           | 34,850           | 47%            | 32%        | 66%        | 39%        | 88%          | 35%           | 92%         | 31%        | 92%        | 92%        | 43%        | 46%        | 40%        | 41%        | 32%        | 32%        |
| Pinterest Inc                        | PINS         | \$22.53         | NC          |                   | 12,649           | 12,555           | 15%            | 12%        | 12%        | 17%        | 2%           | 24%           | -17%        | 62%        | 79%        | 79%        | 29%        | 30%        | 26%        | 29%        | 7%         | 9%         |
| AppLovin Corp                        | APP          | \$522.18        | NC          |                   | 175,421          | 176,177          | 50%            | 31%        | 53%        | 31%        | 39%          | 31%           | 65%         | 34%        | --         | --         | 84%        | 84%        | 67%        | 67%        | 66%        | 67%        |
| MNTN Inc                             | MNTN         | \$10.89         | NC          |                   | 805              | 595              | 21%            | 18%        | 46%        | 29%        | 118%         | 19%           | 733%        | 35%        | --         | --         | 28%        | 31%        | 27%        | 27%        | 20%        | 22%        |
| LiveRamp Holdings Inc                | RAMP         | \$37.61         | NC          |                   | 2,286            | 1,929            | 9%             | 10%        | 19%        | 17%        | -4%          | 18%           | --          | -7%        | --         | --         | 23%        | 24%        | 21%        | 22%        | 17%        | 13%        |
| Criteo SA                            | CRTO         | \$22.83         | NC          |                   | 1,147            | 957              | -3%            | 5%         | -8%        | 6%         | -32%         | 36%           | -20%        | 8%         | --         | --         | 33%        | 33%        | 13%        | 16%        | 10%        | 11%        |
| <b>Average</b>                       |              |                 |             |                   |                  |                  | <b>20%</b>     | <b>16%</b> | <b>34%</b> | <b>22%</b> | <b>37%</b>   | <b>27%</b>    | <b>133%</b> | <b>52%</b> | <b>77%</b> | <b>77%</b> | <b>37%</b> | <b>39%</b> | <b>29%</b> | <b>30%</b> | <b>20%</b> | <b>22%</b> |
| GOOGL % above/below avg. @ BNPP est. |              |                 |             |                   |                  |                  | 3%             | 6%         | -9%        | 15%        | --           | --            | -80%        | -99%       | -22%       | -23%       | 26%        | 30%        | -87%       | -101%      | 67%        | 38%        |

Source: BNP Paribas Equity Research estimates, Bloomberg for NC stocks – priced as of 07/08/2026.

# Investment case, valuation and risks

## Alphabet A (Outperform, Target Price USD420)

### **Investment case**

Alphabet remains a dominant player in global digital advertising and is seeing growing momentum in Google Cloud as enterprises accelerate AI adoption. While ongoing AI investments may pressure margins near-term, we believe these investments strengthen Alphabet's competitive position and set the company up for continued market share gains across Search, YouTube, and Cloud. We view Alphabet as a long-term AI winner, with a broad product ecosystem, and meaningful monetization optionality ahead. As AI capabilities scale, we see room for multiple expansion from current levels.

### **Valuation methodology**

We use a 2027E P/E multiple of 30x, based on our 2027E diluted EPS. We view P/E as the appropriate valuation metric given Alphabet's mature growth and margin profile.

### **Risks**

#### *To the upside:*

1) Faster AI monetization drives higher Search, YouTube, and Cloud revenue ahead of expectations, 2) YouTube Shorts monetization ramps more efficiently, improving ad load and engagement, 3) Google Cloud margin expansion accelerates as scale improves and AI workloads grow, 4) Other Bets investment optionality

#### *To the downside:*

1) Search share erosion from AI chatbots and emerging competitors, 2) regulatory and antitrust rulings could impact default search placement or business practices, 3) cloud competitive pressures from AWS and Azure could slow growth and compress margins, 4) weaker ad spending in macro downturns, 5) AI investment levels may pressure margins longer and more than expected

## **ANALYST CERTIFICATION AND IMPORTANT DISCLOSURES**

### **Analyst Certification**

We, **Nick Jones, Luke Meindl, Valerie Zhang**, hereby certify that all of the views expressed in this report accurately reflect our personal view(s) about the company or companies and securities discussed in this report. No part of our compensation was, is, or will be, directly, or indirectly, related to the specific recommendations or views expressed in this research report.

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/

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The table immediately below indicates if the research analyst(s) responsible for the preparation of this report (or members of their household) has/have certain conflicts of interest relating to the subject company/ies.

| <b>Company/ies</b> | <b>Relevant Disclosures</b> |
|--------------------|-----------------------------|
| /                  |                             |

1 – The research analyst(s) responsible for the preparation of this report, a member of his/her household or an associate of the research analyst has/have a financial interest in the securities of the subject company/ies indicated in the above table.

2 – The research analyst(s) responsible for the preparation of this report, a member of his/her household or an associate of the research analyst serve(s) as an employee, officer, director, or advisory board member of the subject company/ies indicated in the above table.

3 – The research analyst(s) responsible for the preparation of this report received compensation from the subject company/ies in the past twelve months.

4 – The research analyst(s) responsible for the preparation of this report has a material conflict of interest with respect to the subject company/ies, which has not already been identified under 1, 2 or 3 above.

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| Company/ies           | Ticker/s | Relevant Disclosures                                                                                                                                                                                                                                                                                                                                          |
|-----------------------|----------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Airbnb                | ABNB US  | 3; 4; 8                                                                                                                                                                                                                                                                                                                                                       |
| Alphabet A            | GOOGL US | 2; 3; 4; 6; 7; 8- BNP Paribas Securities Corp serves as Passive Joint Bookrunner on a SEC Registered offerings (100% primary) for Alphabet, Inc   NASDAQ:GOOG, GOOGL consisting of depositary shares representing mandatory convertible preferred stock, and Class A Common Stock and Class C Capital Stock that announced to the market on June 1, 2026.; 10 |
| Amazon                | AMZN US  | 2; 3; 4; 6; 7; 8; 10                                                                                                                                                                                                                                                                                                                                          |
| Booking Holdings      | BKNG US  | 2; 3; 4; 7; 8; 10                                                                                                                                                                                                                                                                                                                                             |
| Brightstar Lottery    | BRLS US  | 2; 3; 4; 7; 8; 9; 10                                                                                                                                                                                                                                                                                                                                          |
| CoStar Group Inc      | CSGP US  | 7; 10                                                                                                                                                                                                                                                                                                                                                         |
| DoorDash Inc          | DASH US  | 7; 9                                                                                                                                                                                                                                                                                                                                                          |
| DraftKings            | DKNG US  | /                                                                                                                                                                                                                                                                                                                                                             |
| eBay                  | EBAY US  | 2; 3; 4; 7; 8- BNPP was mandated post-announcement to Ebay Inc's SEC Registered senior unsecured notes offering dated November 3rd ; 9; 10                                                                                                                                                                                                                    |
| Etsy Inc              | ETSY US  | /                                                                                                                                                                                                                                                                                                                                                             |
| Expedia               | EXPE US  | 2; 3; 4; 7; 8; 10                                                                                                                                                                                                                                                                                                                                             |
| Maplebear Inc         | CART US  | /                                                                                                                                                                                                                                                                                                                                                             |
| Meta Platforms Inc    | META US  | 3; 4; 6; 8                                                                                                                                                                                                                                                                                                                                                    |
| Microsoft             | MSFT US  | 2; 3; 4; 6; 7; 8; 9; 10                                                                                                                                                                                                                                                                                                                                       |
| Omnicom Group         | OMC US   | 2; 3; 4; 7; 8; 10                                                                                                                                                                                                                                                                                                                                             |
| Oracle Corporation    | ORCL US  | 2; 3; 4; 7; 8- BNP Paribas Securities Corp. serves as Passive Bookrunner on a SEC Registered convertible bond offering out of Oracle Corporation   NYSE:ORCL that announced to the market on February 2, 2026. BNPP Securities Corp is acting as Sales Agent for an "At-the-Market" of Common Shares of Oracle Corp (NYSE: ORCL); 9; 10                       |
| Snap Inc              | SNAP US  | /                                                                                                                                                                                                                                                                                                                                                             |
| The Trade Desk Inc    | TTD US   | /                                                                                                                                                                                                                                                                                                                                                             |
| Uber Technologies Inc | UBER US  | 2; 3; 4; 7; 8- BNPP was invited post announcement to Uber Technologies SEC Registered senior notes offering dated September 8th ; 9; 10                                                                                                                                                                                                                       |
| Zillow Group Inc      | ZG US    | /                                                                                                                                                                                                                                                                                                                                                             |

1 – BNPP beneficially owns 1% or more of a class of common equity securities of the subject company/ies.

2 – BNPP managed or co-managed an offering of securities for the subject company/ies in the past 12 months.

3 – BNPP received compensation for investment banking services from the subject company/ies in the past 12 months.

4 – BNPP expects to receive or intends to seek compensation for investment banking services from the subject company/ies in the next 3 months.

5 – BNPP has entered into a contract with the subject company/ies to provide liquidity in its/their securities.

6 – BNPP is a market maker in the securities of the subject company/ies.

7 – BNPP received compensation for products and services other than investment banking services from the subject company/ies in the past 12 months.

8 – BNPP has or had an investment banking client relationship with the subject company/ies in the last 12 months.

9 – BNPP has or had a non-investment banking securities services client relationship with the subject company/ies in the last 12 months.

10 – BNPP has or had a non-securities services client relationship with the subject company/ies in the last 12 months.

11 – BNPP beneficially owns a net long or short position of more than 0.5% of the total issued share capital of the subject company/ies.

12 – BNPP is party to an agreement with the issuer relating to the production of the recommendation.

13 – Sections of this report, with the research summary, target price and rating removed, have been presented to the subject company/ies prior to its distribution, for the sole purpose of verifying the accuracy of factual statements.

14 – Following the presentation of sections of this report to the subject company/ies, some conclusions were amended.

15 – A member of BNPP Equity Research is an officer or a member of the Board of the subject company/ies.

16 – The subject company/ies hold(s) more than 5% of the total issued share capital of BNPP.

17 – BNP Paribas Securities (China) Limited owns 1% or more of the outstanding shares issued by the subject company.

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### Rating System

Our coverage analysts use a rating system in which they rate stocks as Outperform, Neutral, or Underperform (as defined below) relative to other companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

**Outperform (O/P):** The stock is expected to outperform the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

**Neutral:** The stock is expected to perform in line with the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

**Underperform (U/P):** The stock is expected to underperform the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

**Under review:** The rating of the stock has been placed under review after significant news. Any possible change will be confirmed as soon as possible in the form of a new broadly disseminated report.

**Restricted (RS):** The stock is covered by BNPP but there is no Rating and no Target Price because BNPP is involved in an equity capital market/ merger and acquisition transaction relating to the subject company.

**Not Rated (NR):** The stock is covered by BNPP but there is no Rating and no Target Price at this time.

**Not Covered (NC):** BNPP does not cover this company

As of 23 September 2024, TEB Investment has changed the recommendation rating structure for Turkish stock coverage from Buy, Hold and Reduce to Outperform, Neutral and Underperform. Ratings and target prices for dates prior to 23 September 2024 used an absolute rating structure whereby the upside or downside to target price relative to the current share price determined the recommendation. TEB Investment now uses a relative recommendation structure whereby the applied rating is based on the stock's expected performance as compared to the average total return of all companies covered by the analyst or the analyst's team in Turkish stock coverage over a 12-month investment horizon. TEB Investment research reports with ratings and target prices for dates prior to 11 August 2025 were prepared and distributed without involvement of a FINRA member firm.

## ESG Rating Explanation and Methodology

**ESG integration methodology:** The BNP Paribas approach offers an alternative to mechanistic ESG scores and leverages the in-depth knowledge of our industry equity research teams by combining quantitative and qualitative factors. There are three steps to our framework; firstly, our teams build a materiality map to assess which ESG topics are most relevant to their respective industries. Secondly, for the chosen topics, companies are assessed relative to sector peers. The assessment can be based on metrics and qualitative judgements. Each company is given a one to five score per topic, with five being the best. Thirdly, based on the topic scores, and any other significant ESG factors, we identify companies in the sector as ESG Leaders, ESG Laggards or ESG Average. The definition of the ratings is shown below; they are not based on the average topic score as some topic scores can be more material than others.

**ESG Leader:** Relative to sector peers an ESG Leader is better positioned on the chosen ESG topics, or other relevant ESG considerations.

**ESG Average:** A company rated as ESG Average may have strong or poor performance on an individual ESG topic, but overall has an average exposure to ESG risks and opportunities.

**ESG Laggard:** Relative to sector peers an ESG Laggard is poorly positioned on the chosen ESG topics, or other relevant ESG considerations for the stock.

## Distribution of BNP Paribas' Equity Recommendations

As at 28 May 2026 BNP Paribas covered 1377 companies. The companies that, for regulatory reasons, are not accorded a rating by BNPP are excluded from these statistics. For regulatory reasons, our ratings of Outperform, Neutral and Underperform correspond respectively to Buy, Hold and Sell; the underlying signification is, however, different as our ratings are relative to the sector.

| Ratings             | Stocks coverage |    | Investment Banking Services<br>Within the previous 12 months |    |
|---------------------|-----------------|----|--------------------------------------------------------------|----|
|                     | Counts          | %* | Counts                                                       | %  |
| Outperform (Buy)    | 698             | 51 | 168                                                          | 24 |
| Neutral (Hold)      | 485             | 35 | 107                                                          | 22 |
| Underperform (Sell) | 194             | 14 | 39                                                           | 20 |

\* Please note that the percentages might not add up to 100% because of rounding.

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## Price and Ratings Chart

### Alphabet A

Historical Closing Price & Target Price (closing price as of 08/07/2026)



Source: BNP Paribas

### Historical rating & target price changes

| Date & Time of Dissemination (London time) | Rating (1) | Target Price | Closing Price | Key Changes            | Person(s) Involved                                  |
|--------------------------------------------|------------|--------------|---------------|------------------------|-----------------------------------------------------|
| 30 Apr. 2026 13:25                         | +          | USD420.00    | USD384.80     | TP up                  | N. Jones, L. Meindl, V. Zhang                       |
| 5 Feb. 2026 04:24                          | +          | USD390.00    | USD331.25     | TP up                  | N. Jones, L. Meindl                                 |
| 24 Nov. 2025 11:06                         | +          | USD355.00    | USD299.66     | Initiation of coverage | N. Jones, L. Meindl, V. Zhang                       |
| 21 Nov. 2025 21:17                         | NC         | -            | USD289.45     | Coverage dropped       | BNP Paribas Equity Research                         |
| 3 Nov. 2025 05:55                          | =          | USD281.00    | USD283.72     | TP up                  | S. Slowinski, D. Wang, K. Patton                    |
| 20 Oct. 2025 21:23                         | =          | USD247.00    | USD256.55     | TP up                  | S. Slowinski, D. Wang, K. Patton                    |
| 25 Jul. 2025 08:58                         | =          | USD187.00    | USD193.18     | TP up                  | S. Slowinski, D. Wang, K. Patton                    |
| 22 Jul. 2025 05:33                         | =          | USD174.00    | USD191.34     | TP up                  | S. Slowinski, D. Wang, K. Patton                    |
| 26 Jun. 2025 21:18                         | =          | USD172.00    | USD170.68     | Rating down, TP down   | S. Slowinski, D. Wang, K. Patton                    |
| 25 Apr. 2025 08:24                         | +          | USD213.00    | USD161.96     | TP up                  | S. Slowinski, D. Wang, K. Patton                    |
| 17 Apr. 2025 05:55                         | +          | USD208.00    | USD151.16     | TP down                | S. Slowinski, D. Wang, K. Patton                    |
| 21 Jan. 2025 06:13                         | +          | USD225.00    | USD198.05     | TP up                  | S. Slowinski, D. Wang, K. Patton                    |
| 22 Jul. 2024 06:08                         | +          | USD210.00    | USD181.67     | TP up                  | S. Slowinski, K. Patton                             |
| 2 May 2024 05:59                           | +          | USD205.00    | USD166.62     | TP up                  | S. Slowinski, K. Patton, B. Castillo-Bernaus        |
| 18 Jan. 2024 05:11                         | +          | USD171.00    | USD143.48     | TP up                  | S. Slowinski, B. Castillo-Bernaus, L. Lu, K. Patton |
| 25 Oct. 2023 07:42                         | +          | USD159.00    | USD125.61     | TP down                | S. Slowinski, L. Lu, K. Patton                      |
| 19 Jul. 2023 06:04                         | +          | USD163.00    | USD122.03     | TP up                  | S. Slowinski, L. Lu, K. Patton                      |

(1) With effect from 23 September 2024, BNP Paribas changed its research rating system - please refer to the 'Explanation of Research Ratings'.

Note:

- The closing price is based on the market close price on the last business close date.
- Closing prices and target prices have been adjusted to take into account stock splits or corporate actions where applicable.
- All ratings and target prices are valid for 12 months.

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# ALPHABET A (Outperform)

Price at 8 Jul. 26 / Target Price

US Digital Advertising | Internet & Media - USA

USD361.9 / USD420 +16%

## Company description

Alphabet is a diversified technology company best known for Google Search, Google Workspace, Google Cloud, Chrome, Android, and YouTube, alongside a portfolio of non-Google operations collectively referred to as Other Bets. In 2023, it launched Gemini, a natively multimodal AI model capable of seamlessly understanding and integrating text, code, audio, image, and video. Today, Gemini is seen on all seven of Alphabet's two-billion-user products - Android, Chrome, Gmail, Maps, Play Store, Search, and YouTube. Alphabet reports three segments: (1) Google Services, (2) Google Cloud, and (3) Other Bets.

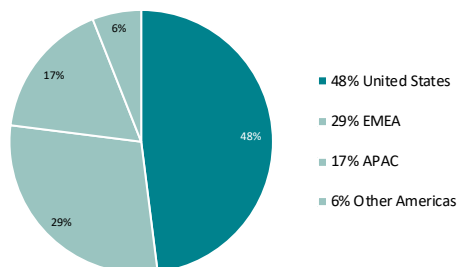
## Management

Sundar Pichai, CEO  
Ruth Porat, CFO

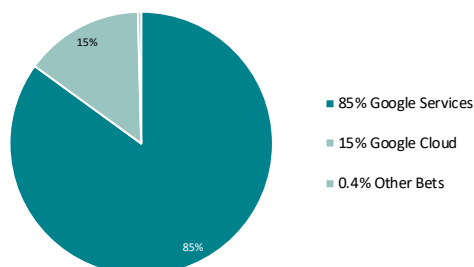
## Ownership structure

|                          |       |
|--------------------------|-------|
| The Vanguard Group       | 7.7%  |
| Blackrock Inc            | 6.6%  |
| Page Lawrence E          | 6.5%  |
| Brin Sergey Mikhailovich | 6.0%  |
| State Street Corp        | 3.5%  |
| Other Shareholders       | 69.8% |

## Revenue by geography - 2025



## Revenue by Segment - 2025



## Analyst

Nick Jones +1 (929) 742-0211  
nick.2.jones@us.bnpparibas.com

## Peer group YTD performance

| Stock               | Price<br>(08 Jul. 26) | YTD performance in EUR (%) |             |
|---------------------|-----------------------|----------------------------|-------------|
|                     |                       | Abs.                       | Rel. Sector |
| Etsy (=)            | USD 77.2              | 43.4                       | 34          |
| eBay (=)            | USD 115.3             | 36.8                       | 28          |
| <b>Alphabet (+)</b> | <b>USD 361.9</b>      | <b>19.2</b>                | <b>11</b>   |
| Instacart (-)       | USD 47.7              | 9.3                        | 2           |
| Amazon (+)          | USD 243.6             | 8.7                        | 2           |
| Airbnb (=)          | USD 143.0             | 8.4                        | 1           |
| Omnicom (+)         | USD 78.6              | 1.7                        | (5)         |
| Expedia (=)         | USD 260.3             | (5.1)                      | (11)        |
| Meta (+)            | USD 603.1             | (5.8)                      | (12)        |
| Uber (+)            | USD 73.6              | (7.3)                      | (13)        |
| DoorDash (+)        | USD 189.4             | (13.9)                     | (20)        |
| Booking (+)         | USD 174.3             | (15.9)                     | (21)        |
| DraftKings (-)      | USD 27.2              | (18.8)                     | (24)        |
| Brightstar (=)      | USD 10.9              | (25.6)                     | (30)        |
| Snap (-)            | USD 4.63              | (40.9)                     | (45)        |
| Trade Desk (=)      | USD 19.1              | (48.3)                     | (52)        |
| Zillow (+)          | USD 32.1              | (51.5)                     | (55)        |
| CoStar (=)          | USD 29.3              | (55.1)                     | (58)        |

## Sector calendar

17 Jul. 26 **Vend:** Vend Q226 results (01:00 CET)  
 10 Aug. 26 **HYPOPORT:** H1 Results 2026 (07:00 CET)  
**HYPOPORT:** H1 Results 2026 (07:00 CET)  
 20 Aug. 26 **CTS Eventim:** H1 Results 2026 (17:45 CET)  
 27 Oct. 26 **Vend:** Vend Q326 results (01:00 CET)  
 09 Nov. 26 **HYPOPORT:** HYQ GY - Results 2026 Q3 (Pre Mkt)  
 19 Nov. 26 **CTS Eventim:** EVD GY - Results 2026 Q3



Price at 08 Jul. 26 / 12m Target Price

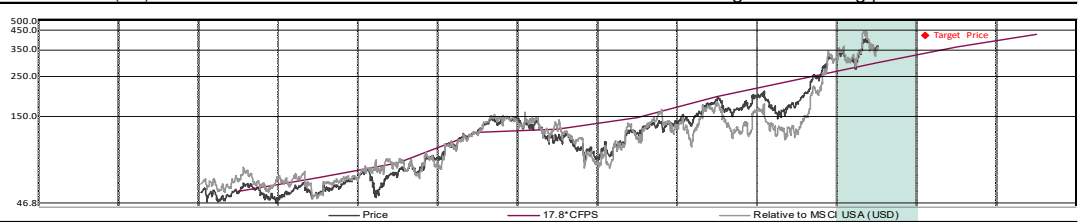
**USD361.9 / USD420 +16%**

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## ALPHABET A (Outperform)

US Digital Advertising | Internet & Media - USA

| Company Highlights                        |                       |           |      |
|-------------------------------------------|-----------------------|-----------|------|
| USDm / EURm                               |                       |           |      |
| Enterprise value                          | 4,306,518 / 3,775,309 |           |      |
| Market capitalisation                     | 4,407,222 / 3,863,591 |           |      |
| Free float                                | 4,407,222 / 3,863,591 |           |      |
| 3m average volume                         | 11,281 / 9,890        |           |      |
| Performance (%)                           |                       |           |      |
|                                           | 1m                    | 3m        | 12m  |
| Absolute                                  | (0%)                  | 14%       | 108% |
| Rel. Sector                               | (0%)                  | 7%        | 59%  |
| Rel. MSCI USA                             | (2%)                  | 3%        | 72%  |
| 12m Hi/Lo (USD): 402.6 -10% / 174.4 +108% |                       |           |      |
| CAGR                                      |                       |           |      |
|                                           | 2019/2026             | 2026/2028 |      |
| EPS restated                              | 25%                   | 19%       |      |
| CFPS                                      | 23%                   | 20%       |      |



| Price (yearly avg from Dec. 18 to Dec. 25)           |            |            |            |            |            |            |            |            |            |            |            |
|------------------------------------------------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|
|                                                      | 56.1       | 59.6       | 73.9       | 124.2      | 114.8      | 118.8      | 163.8      | 210.9      | 361.9      | 361.9      | 361.9      |
| PER SHARE DATA (USD)                                 |            |            |            |            |            |            |            |            |            |            |            |
| No of shares year end, basic, (m)                    | 13 904.780 | 13 776.120 | 13 511.640 | 13 253.000 | 12 897.000 | 12 488.000 | 12 228.000 | 12 073.000 | 12 177.336 | 12 312.195 | 12 485.357 |
| Avg no of shares, diluted, excl. treasury stocks (m) | 14 065.700 | 13 971.120 | 13 740.560 | 13 553.000 | 13 153.000 | 12 722.000 | 12 447.000 | 12 230.000 | 12 146.521 | 12 320.695 | 12 493.977 |
| EPS reported, Gaap                                   | 2.19       | 2.46       | 2.93       | 5.61       | 4.56       | 5.80       | 8.04       | 10.81      | 13.70      | 13.76      | 15.88      |
| EPS company definition                               | 2.19       | 2.46       | 2.93       | 5.61       | 4.56       | 5.80       | 8.04       | 10.81      | 13.70      | 13.76      | 15.88      |
| EPS restated, fully diluted                          | 2.10       | 2.40       | 2.57       | 4.89       | 4.89       | 5.85       | 7.87       | 9.22       | 11.30      | 13.76      | 15.88      |
| % change                                             |            | 14.3%      | 7.2%       | 90.6%      | (0.1%)     | 19.6%      | 34.6%      | 17.1%      | 22.6%      | 21.7%      | 15.4%      |
| Book value (BVPS) (a)                                | 12.8       | 14.6       | 16.5       | 19.0       | 19.9       | 22.7       | 26.6       | 34.4       | 47.4       | 60.9       | 76.2       |
| Net dividend                                         | 0.00       | 0.00       | 0.00       | 0.00       | 0.00       | 0.00       | 0.60       | 0.82       | 0.87       | 0.90       | 0.93       |
| Payout                                               | 0.0%       | 0.0%       | 0.0%       | 0.0%       | 0.0%       | 0.0%       | 7.6%       | 8.9%       | 7.7%       | 6.6%       | 5.9%       |
| EV / Sales                                           | 4.81x      | 4.29x      | 4.70x      | 5.81x      | 4.80x      | 4.39x      | 5.32x      | 5.97x      | 8.85x      | 7.70x      | 6.79x      |
| EV / Restated EBITDA                                 | 16.1x      | 14.8x      | 15.9x      | 16.6x      | 15.1x      | 14.0x      | 14.6x      | 16.0x      | 21.6x      | 17.3x      | 14.6x      |
| EV / Restated EBITA                                  | 20.2x      | 19.3x      | 20.8x      | 19.0x      | 18.1x      | 16.0x      | 16.6x      | 18.6x      | 26.0x      | 21.2x      | 18.4x      |
| EV / NOPAT                                           | 25.5x      | 24.4x      | 26.4x      | 24.1x      | 23.0x      | 20.3x      | 21.0x      | 23.6x      | 33.0x      | 26.9x      | 23.3x      |
| EV / OpFCF                                           | 24.6x      | 18.8x      | 18.6x      | 18.9x      | 17.6x      | 15.9x      | 19.4x      | 25.0x      | 79.5x      | 124.0x     | 85.8x      |
| EV / Capital employed (incl. gross goodwill)         | 9.2x       | 7.3x       | 8.6x       | 12.6x      | 9.7x       | 8.6x       | 9.5x       | 8.9x       | 9.5x       | 6.7x       | 5.1x       |
| ENTERPRISE VALUE (USDm)                              |            |            |            |            |            |            |            |            |            |            |            |
| Market cap                                           | 779,980    | 825,035    | 1,006,926  | 1,658,777  | 1,499,116  | 1,500,377  | 2,017,952  | 2,555,150  | 4,407,222  | 4,456,029  | 4,518,700  |
| + Adjusted net debt                                  | (105,128)  | (115,121)  | (122,762)  | (124,832)  | (99,061)   | (97,663)   | (84,774)   | (80,296)   | (30,667)   | 946        | 26,051     |
| + Other liabilities and commitments                  |            |            |            |            |            |            |            |            |            |            |            |
| + Revalued minority interests                        |            |            |            |            |            |            |            |            |            |            |            |
| - Revalued investments                               | 17,289     | 16,141     | 25,740     | 36,194     | 42,376     | 53,228     | 70,036     | 70,036     | 70,036     | 70,036     | 70,036     |
| P & L HIGHLIGHTS (USDm)                              |            |            |            |            |            |            |            |            |            |            |            |
| Sales                                                | 136,819    | 161,857    | 182,527    | 257,637    | 282,836    | 307,394    | 350,018    | 402,836    | 486,821    | 570,006    | 658,945    |
| Restated EBITDA (b)                                  | 40,759     | 46,784     | 54,129     | 90,269     | 89,666     | 96,339     | 127,701    | 150,175    | 199,820    | 253,975    | 307,214    |
| Depreciation                                         | (8,164)    | (10,856)   | (12,905)   | (11,555)   | (14,824)   | (11,946)   | (15,311)   | (21,136)   | (34,415)   | (47,348)   | (63,767)   |
| Restated EBITA (b)                                   | 32,595     | 35,928     | 41,224     | 78,714     | 74,842     | 84,293     | 112,390    | 129,039    | 165,404    | 206,627    | 243,447    |
| Reported operating profit (loss)                     | 27,524     | 34,231     | 41,224     | 78,714     | 74,842     | 84,293     | 112,390    | 129,039    | 165,404    | 206,627    | 243,447    |
| Net financial income (charges)                       | 7,389      | 5,394      | 6,858      | 12,020     | (3,514)    | 1,424      | 7,425      | 29,787     | 40,402     | 2,654      | 1,547      |
| Affiliates                                           |            |            |            |            |            |            |            |            |            |            |            |
| Other                                                |            |            |            |            |            |            |            |            |            |            |            |
| Tax                                                  | (4,177)    | (5,282)    | (7,813)    | (14,701)   | (11,356)   | (11,922)   | (19,697)   | (26,656)   | (39,438)   | (39,763)   | (46,549)   |
| Minorities                                           |            |            |            |            |            |            |            |            |            |            |            |
| Net attributable profit reported                     | 30,736     | 34,343     | 40,269     | 76,033     | 59,972     | 73,795     | 100,118    | 132,170    | 166,369    | 169,518    | 198,446    |
| Net attributable profit restated (c)                 | 29,489     | 33,473     | 35,279     | 66,340     | 64,332     | 74,445     | 98,008     | 112,720    | 137,294    | 169,518    | 198,446    |
| CASH FLOW HIGHLIGHTS (USDm)                          |            |            |            |            |            |            |            |            |            |            |            |
| EBITDA (reported)                                    | 35,688     | 45,087     | 54,129     | 90,269     | 89,666     | 96,339     | 127,701    | 150,175    | 199,820    | 253,975    | 307,214    |
| EBITDA adjustment (b)                                | 5,071      | 1,697      | 0          | 0          | 0          | 0          | 0          | 0          | 0          | 0          | 0          |
| Other items                                          | 8,583      | 12,793     | 12,428     | 15,165     | 21,147     | 24,995     | 29,190     | 36,975     | 38,164     | 33,060     | 36,308     |
| Change in WCR                                        | 2,536      | 819        | 1,827      | (1,523)    | (2,235)    | (3,845)    | (8,406)    | 618        | 2,658      | 4,842      | 5,177      |
| Operating cash flow                                  | 51,878     | 60,396     | 68,384     | 103,911    | 108,578    | 117,389    | 148,485    | 187,768    | 240,642    | 291,877    | 348,698    |
| Capex                                                | (25,139)   | (23,548)   | (22,281)   | (24,640)   | (31,485)   | (32,251)   | (52,535)   | (91,447)   | (186,444)  | (256,503)  | (296,525)  |
| Operating free cash flow (OpFCF)                     | 26,739     | 36,848     | 46,103     | 79,271     | 77,093     | 85,138     | 95,950     | 96,321     | 54,198     | 35,374     | 52,173     |
| Net financial items + tax paid                       | (3,907)    | (5,876)    | (3,260)    | (12,259)   | (17,083)   | (15,643)   | (23,056)   | (35,903)   | (37,110)   | (45,002)   | (45,002)   |
| Free cash flow                                       | 22,832     | 30,972     | 42,843     | 67,012     | 60,010     | 69,495     | 72,764     | 73,266     | 18,295     | (1,736)    | 7,171      |
| Net financial investments & acquisitions             | (541)      | (2,295)    | 2,062      | (2,308)    | (6,934)    | (487)      | (1,192)    | (30,421)   | 0          | 0          | 0          |
| Other                                                | 91,912     | (10,502)   | (7,047)    | (12,603)   | (20,663)   | (8,861)    | (13,522)   | (7,679)    | (123)      | 0          | 0          |
| Capital increase (decrease)                          | (9,075)    | (18,396)   | (31,149)   | (50,274)   | (59,296)   | (61,504)   | (62,222)   | (59,876)   | (24,296)   | (18,770)   | (20,614)   |
| Dividends paid                                       | 0          | 0          | 0          | 0          | 0          | 0          | (7,363)    | (10,050)   | (10,579)   | (11,108)   | (11,663)   |
| Increase (decrease) in net financial debt            | (105,128)  | 221        | (6,709)    | (1,827)    | 26,883     | 1,357      | 12,120     | 5,531      | 47,125     | 31,613     | 25,105     |
| Cash flow, group share                               | 45,435     | 53,701     | 63,297     | 93,175     | 93,730     | 105,591    | 133,705    | 164,095    | 202,081    | 249,926    | 298,520    |
| BALANCE SHEET HIGHLIGHTS (USDm)                      |            |            |            |            |            |            |            |            |            |            |            |
| Net operating assets                                 | 79,827     | 107,190    | 119,580    | 134,931    | 158,093    | 177,634    | 216,509    | 295,198    | 477,648    | 686,803    | 919,562    |
| WCR                                                  | (8,084)    | (12,318)   | (19,232)   | (15,760)   | (18,267)   | (21,200)   | (21,068)   | (23,550)   | (26,208)   | (31,049)   | (36,226)   |
| Restated capital employed, incl. gross goodwill      | 71,743     | 94,872     | 100,348    | 119,171    | 139,826    | 156,434    | 195,441    | 271,648    | 451,440    | 655,754    | 883,336    |
| Shareholders' funds, group share                     | 177,628    | 201,442    | 222,544    | 251,635    | 256,144    | 283,379    | 325,084    | 415,265    | 576,674    | 749,375    | 951,852    |
| Minorities                                           |            |            |            |            |            |            |            | 0          | 0          | 0          | 0          |
| Provisions / Other liabilities                       | 16,532     | 14,478     | 15,160     | 17,173     | 12,618     | 11,486     | 13,476     | 17,980     | 26,042     | 26,042     | 26,042     |
| Net financial debt (cash)                            | (105,128)  | (104,907)  | (111,616)  | (113,443)  | (86,560)   | (85,203)   | (73,083)   | (67,552)   | (20,427)   | 11,186     | 36,291     |
| FINANCIAL RATIOS (%)                                 |            |            |            |            |            |            |            |            |            |            |            |
| Sales (% change)                                     | NC         | 18.3%      | 12.8%      | 41.2%      | 9.8%       | 8.7%       | 13.9%      | 15.1%      | 20.8%      | 17.1%      | 15.6%      |
| Organic sales growth                                 |            | 18.3%      | 12.8%      | 41.2%      | 9.8%       | 8.7%       | 13.9%      | 15.1%      | 20.8%      | 17.1%      | 15.6%      |
| Restated EBITA (% change)                            | NC         | 10.2%      | 14.7%      | 90.9%      | (4.9%)     | 12.6%      | 33.3%      | 14.8%      | 28.2%      | 24.9%      | 17.8%      |
| Restated attributable net profit (% change)          | NC         | 13.5%      | 5.4%       | 88.0%      | (3.0%)     | 15.7%      | 31.7%      | 15.0%      | 21.8%      | 23.5%      | 17.1%      |
| Personnel costs / Sales                              | NC         | NC         | NC         | NC         | NC         | NC         | NC         | NC         | NC         | NC         | NC         |
| Restated EBITDA margin                               | 29.8%      | 28.9%      | 29.7%      | 35.0%      | 31.7%      | 31.3%      | 36.5%      | 37.3%      | 41.0%      | 44.6%      | 46.6%      |
| Restated EBITA margin                                | 23.8%      | 22.2%      | 22.6%      | 30.6%      | 26.5%      | 27.4%      | 32.1%      | 32.0%      | 34.0%      | 36.2%      | 36.9%      |
| Tax rate                                             | 12.0%      | 13.3%      | 16.2%      | 16.2%      | 15.9%      | 13.9%      | 16.4%      | 16.8%      | 19.2%      | 19.0%      | 19.0%      |
| Net margin                                           | 21.6%      | 20.7%      | 19.3%      | 25.7%      | 22.7%      | 24.2%      | 28.0%      | 28.0%      | 28.2%      | 29.7%      | 30.1%      |
| Capex / Sales                                        | 18.4%      | 14.5%      | 12.2%      | 9.6%       | 11.1%      | 10.5%      | 15.0%      | 22.7%      | 38.3%      | 45.0%      | 45.0%      |
| OpFCF / Sales                                        | 19.5%      | 22.8%      | 25.3%      | 30.8%      | 27.3%      | 27.7%      | 27.4%      | 23.9%      | 11.1%      | 6.2%       | 7.9%       |
| WCR / Sales                                          | (5.9%)     | (7.6%)     | (10.5%)    | (6.1%)     | (6.5%)     | (6.9%)     | (6.0%)     | (5.8%)     | (5.4%)     | (5.4%)     | (5.5%)     |
| Capital employed (excl. gdw. / intangibles) / Sales  | 37.7%      | 44.6%      | 42.6%      | 36.8%      | 38.5%      | 41.4%      | 46.7%      | 59.1%      | 85.9%      | 109.2%     | 129.0%     |
| ROE                                                  | 16.6%      | 16.6%      | 15.9%      | 26.4%      | 25.1%      | 26.3%      | 30.1%      | 27.1%      | 23.8%      | 22.6%      | 20.8%      |
| Gearing                                              | (59%)      | (57%)      | (55%)      | (50%)      | (39%)      | (34%)      | (26%)      | (19%)      | (5%)       | 0%         | 3%         |
| EBITDA / Financial charges                           | NC         | NC         | NC         | NC         | NC         | NC         | NC         | NC         | NC         | NC         | NC         |
| Adjusted financial debt / EBITDA                     | NC         | NC         | NC         | NC         | NC         | NC         | NC         | NC         | NC         | 0.0x       | 0.1x       |
| ROCE, excl. gdw. / intangibles                       | 49.9%      | 39.3%      | 41.9%      | 65.6%      | 54.4%      | 52.3%      | 54.3%      | 42.8%      | 31.3%      | 26.2%      | 22.6%      |
| ROCE, incl. gross goodwill                           | 35.9%      | 29.9%      | 32.5%      | 52.2%      | 42.3%      | 42.6%      | 45.4%      | 37.5%      | 28.9%      | 24.9%      | 21.8%      |
| WACC                                                 | 8.6%       | 8.9%       | 8.2%       | 7.5%       | 8.8%       | 8.3%       | 7.4%       | 7.4%       | 6.9%       | 6.9%       | 6.9%       |

Latest Model update: 30 Apr. 26

(a) Intangibles: USD33,380,000, or USD3 per share. (b) adjusted for capital gains/losses, exceptional restructuring charges, capitalized R&D; EBITA also adjusted for impairments and am. of intangibles from M&A

(c) after EBITA adjustments and financial result/tax adjustments, (\*) In listing currency, w. div. reinvested